



Mindteck Investor Presentation

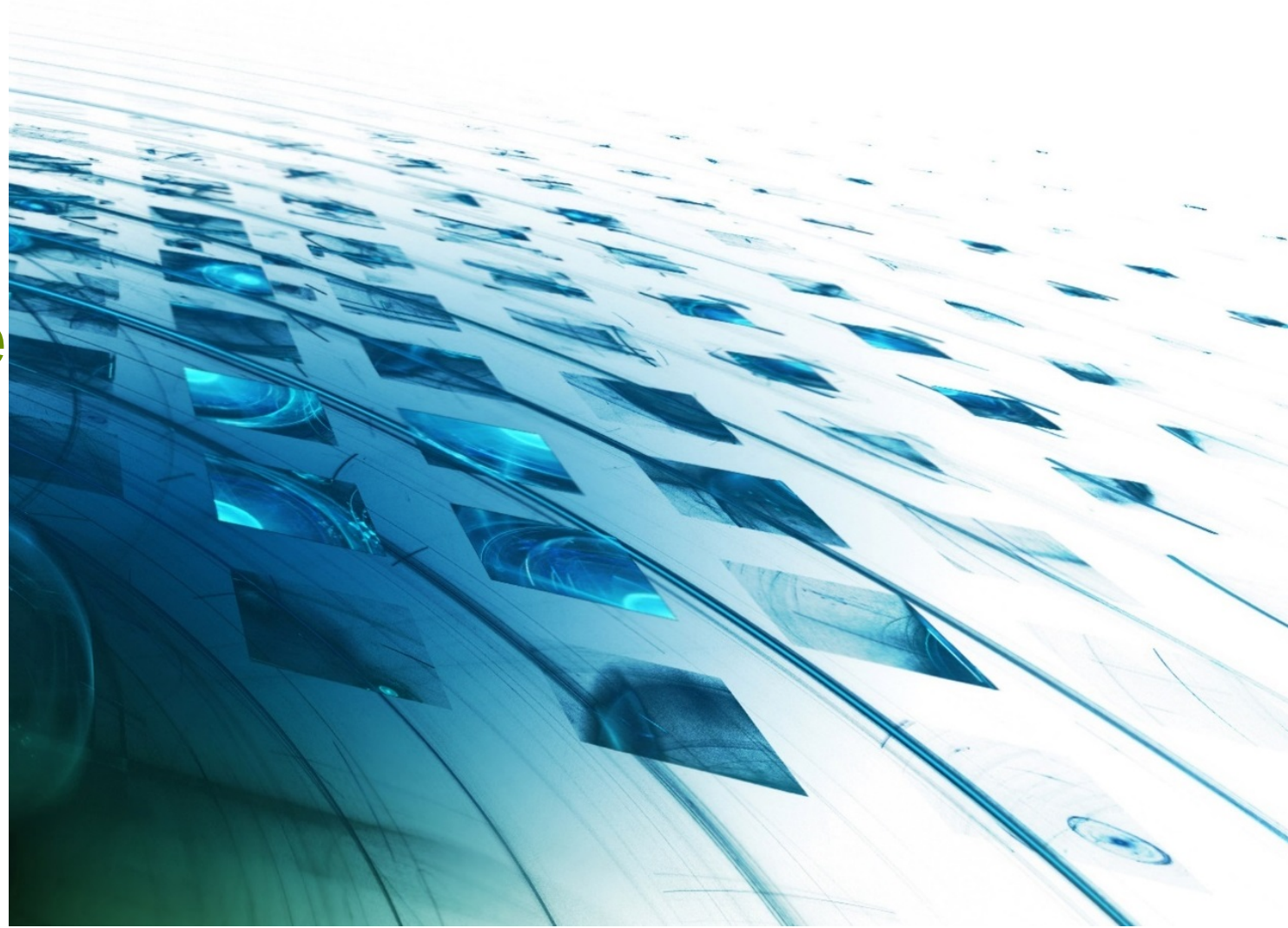
SECOND QUARTER ENDED SEPTEMBER 30, 2019

November 13, 2019

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Financial Performance



Performance **Highlights** – Consolidated Results

Q2 2019-20:

- Revenue at ₹680.6 million (\$9.7 million), dip of 0.7% QoQ and 8.7% YoY.
- EBITDA at ₹6.6 million (\$0.1 million), dip of 75.6% QoQ and 52.9% YoY.
- Profit after tax (“PAT”) at ₹(15.5) million (\$(0.2) million) as against profit of ₹3.5 million in June 2019 & ₹8.7 million in September 2018.

Year to date 2019-20:

- Revenue at ₹1,366 million (\$19.5 million), dip of 8.4% as against the preceding year.
- EBITDA at ₹33.7 million (\$0.5 million), dip of 18% as against the preceding year.
- Profit after tax (“PAT”) at ₹(12.0) million (\$(0.2) million) as against profit of ₹12.7 in the preceding year.

Performance Summary – Consolidated Results

SEQUENTIAL Q2'20 Vs Q1'20

Amount in ₹ million

SL #	Particulars	Q2' 20 (Unaudited)	Q1' 20 (Unaudited)	Change %
1	Income:			
	a) Revenue	680.6	685.4	-0.7%
	b) Other income	3.9	3.4	14.7%
	Total Income (a+b)	684.5	688.8	-0.6%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	98.9	109.9	-10.0%
	b) Employee benefits expense	496.5	477.6	4.0%
	c) Finance cost	5.6	5.9	-5.1%
	d) Depreciation and amortization	17.6	16.3	8.0%
	e) Other expenses	78.6	70.8	11.0%
	Total Expenses (a+b+c+d+e)	697.2	680.5	2.5%
3	Profit/ (Loss) Before Tax ("PBT") (1-2)	(12.7)	8.3	(a)
4	Tax expense	2.8	4.8	-41.7%
	Profit/ (Loss) After Tax ("PAT") (3-4)	(15.5)	3.5	(a)

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Performance Summary - Consolidated Results

YoY Q2 FY 20 Vs. Q2 FY 19

Amount in ₹million

SL #	Particulars	Q2' 20 (Unaudited)	Q2' 19 (Unaudited)	Change %
1	Income:			
	a) Revenue	680.6	745.2	-8.7%
	b) Other income	3.9	15.5	-74.8%
	Total Income (a+b)	684.5	760.7	-10.0%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	98.9	119.4	-17.2%
	b) Employee benefits expense	496.5	525.8	-5.6%
	c) Finance cost	5.6	4.3	30.2%
	d) Depreciation and amortization	17.6	6.5	170.8%
	e) Other expenses	78.6	86.0	-8.6%
	Total Expenses (a+b+c+d+e)	697.2	742.0	-6.0%
3	Profit/ (Loss) Before Tax (3-4)	(12.7)	18.7	(a)
4	Tax expense	2.8	10.0	-72.0%
5	Profit/ (Loss) After Tax ("PAT") (5-6)	(15.5)	8.7	(a)

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Performance Summary - Consolidated Results

YTD Q2 FY 20 Vs. Q2 FY 19

Amount in ₹ million

SL #	Particulars	Q2' 20 (Unaudited)	Q2' 19 (Unaudited)	Change %
1	Income:			
	a) Revenue	1,366.0	1,490.6	-8.4%
	b) Other income	7.3	19.9	-63.3%
	Total Income (a+b)	1,373.3	1,510.5	-9.1%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	208.8	239.5	-12.8%
	b) Employee benefits expense	974.1	1,047.1	-7.0%
	c) Finance cost	11.5	6.8	69.1%
	d) Depreciation and amortization	33.9	10.9	211.0%
	e) Other expenses	149.4	175.4	-14.8%
	Total Expenses (a+b+c+d+e)	1,377.7	1,479.7	-6.9%
3	Profit/ (Loss) Before Tax (3-4)	(4.4)	30.8	(a)
4	Tax expense	7.6	18.1	-58.0%
5	Profit/ (Loss) After Tax ("PAT") (5-6)	(12.0)	12.7	(a)

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Mindteck Fact Sheet



Fact Sheet

FINANCIAL PERFORMANCE HIGHLIGHT

In ₹ Million

Particulars		Q2 2020	Q1 2020	Q2 2019	Growth %		FY 19
					QoQ	YoY	
Revenue		680.6	685.4	745.2	-0.7%	-8.7%	2,994.1
EBITDA		6.6	27.1	14.0	-75.6%	-52.9%	44.0
PAT		(15.5)	3.5	8.7	(a)	(a)	27.4

In \$ Million

Particulars		Q2 2020	Q1 2020	Q2 2019	Growth %		FY 19
					QoQ	YoY	
Revenue		9.7	9.9	10.9	-1.3%	-10.7%	42.8
EBITDA		0.1	0.4	0.2	-75.8%	-53.9%	0.6
PAT		(0.2)	0.1	0.1	(a)	(a)	0.4

USD/INR

Exchange Rate		Q2 2020	Q1 2020	Q2 2019	FY 19
Average (P&L)		69.9	69.4	68.3	69.9
Close (BS)		70.7	69.0	72.5	69.2

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Fact Sheet

REVENUE METRICS

Geography		Q2 2020	Q1 2020	Q2 2019	FY 19
	USA	68%	69%	71%	69%
	IMEA	7%	6%	7%	9%
	Europe	10%	10%	8%	9%
	APAC	15%	15%	14%	13%

Delivery Centers		Q2 2020	Q1 2020	Q2 2019	FY 19
	USA	59%	58%	61%	60%
	India	14%	14%	15%	16%
	Singapore	8%	9%	8%	7%
	Malaysia	6%	6%	6%	6%
	UK	7%	7%	7%	6%
	Germany	3%	3%	2%	2%
	Baharin	3%	3%	1%	3%

Project Type		Q2 2020	Q1 2020	Q2 2019	FY 19
	Time & Material	99%	97%	96%	95%
	Fixed	1%	3%	4%	5%

Services		Q2 2020	Q1 2020	Q2 2019	FY 19
	Managed Services ("MS")	31%	33%	33%	35%
	Professional Services("PS")	69%	67%	67%	65%

Fact Sheet

REVENUE METRICS

Revenue Mix - Efforts		Q2 2020	Q1 2020	Q2 2019	FY 19
	Onsite	68%	65%	65%	65%
	Offshore	32%	35%	35%	35%

Revenue Mix - Business Offerings		Q2 2020	Q1 2020	Q2 2019	FY 19
	Talent Management	59%	58%	58%	57%
	Product Engineering	24%	24%	25%	24%
	Information Technology Services	17%	17%	16%	18%
	Smart City Services	0%	1%	1%	1%

Fact Sheet

CLIENT METRICS

Clients		Q2 2020	Q1 2020	Q2 2019	FY 19
	Top 5	57%	56%	62%	57%
	Top 10	73%	72%	75%	74%

Other details (Annualized)		Q2 2020	Q1 2020	Q2 2019	FY 19
	No of Clients	97	91	87	114
	1 Mn +	10	9	3	9
	5 Mn +	2	2	1	2

EMPLOYEE METRICS

PEOPLE		Q2 2020	Q1 2020	Q2 2019	FY 19
	<i>Total Headcount</i>	<i>1,010</i>	<i>999</i>	<i>1,059</i>	<i>1,026</i>
	Technical	827	832	876	845
	Support	183	167	183	181



**If you have any questions, or need assistance,
please contact:**

Mr. Anand Balakrishnan

Chief Financial Officer

Telephone: +91 80 4154 8000

Email: anand.balakrishnan@mindteck.com

